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15(a)

Perfect competition

1. Large no. of sellers
2. Homogenous product
3. Uniform price
4. Free entry
5. Perfect knowledge
6. Perfectly elastic
7. $AR = MR$
8. No price control

Monopoly

- One seller, but large no. of buyers
- Differentiated pds.
- Price not uniform
- Not possible
- Imperfect entry
- Relatively less elastic
- $AR \neq MR$
- Full control of price

b) collusive model recognises that oligopoly firms depend on each other for their price-output decision making. They enter into some sort of agreement for the price & output levels. When there is informal agreement is collusion.

16(a) Product pricing is the process of setting price for a product. Price set for a product should be optimum.

Methods of pricing

1. Cost plus pricing:- the amt of profit that a firm desires to earn is added to obtain the price of product.
2. Target return pricing:- where the prices are marked according to a defined rate of return.
3. predatory pricing:- product is priced at a significantly low level.
4. Going rate pricing:- priced at prevailing in mkt.